Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$109.76 ▲ 1.12%	12M Price Target **$118.00**	52-Week Range $63.52 – $153.86	Market Cap $98.68B

HOOD: Retail Trading Bid Returns as Crypto Rules Loosen

WHAT HAPPENED

- HOOD ticked up 1.1% alongside Webull's 8% pop — the "retail trading bid is back" story is the theme of the day. Translation: mom-and-pop investors are trading heavily again, which is HOOD's bread and butter (they make money on every trade, especially crypto and options).
- The Coinbase/Chainlink tokenized stocks news and Coinbase's crypto-backed mortgage push tell you the crypto industry is aggressively moving into traditional finance — that's a rising tide for HOOD's crypto revenue, which was ~35% of transaction revenue last quarter.

WHY IT MATTERS

Here's what's really going on: HOOD is trading at 51% of its 52-week range with the stock consolidating in the $103-$112 zone after a monster run from $63. The options market is flashing something interesting — a bullish call/put ratio (calls outnumber puts nearly 3-to-1) BUT someone bought unusual $170 and $180 puts for September, which looks like big-money hedging a position they don't want to sell. That tells me institutions are still long but nervous about a pullback. The bigger picture: the Trump administration's crypto-friendly stance (CLARITY Act framework, SAB 121 repeal, pro-stablecoin GENIUS Act) has structurally re-rated crypto exchanges and brokers higher, and HOOD is one of the purest beneficiaries.

POLICY & POLITICAL WATCH

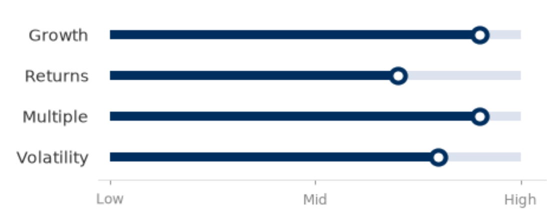
The big one to watch: the CLARITY Act (Digital Asset Market Clarity Act) and follow-on crypto market structure legislation moving through Congress — if it fully passes, it clarifies which tokens are securities vs. commodities, which is HUGE for HOOD's crypto business because it removes the SEC lawsuit overhang. Also watch the SEC's stance on prediction markets and event contracts — HOOD launched event contracts (election, sports) and a friendlier CFTC under the current administration is a direct tailwind. The one risk: if Democrats retake the House in 2026 midterms and slow-walk crypto bills, that removes a key catalyst for the stock.

IS IT EXPENSIVE?

HOOD trades around 23x forward revenue and roughly 59x forward earnings — meaning investors are paying $59 for every $1 the company earns next year. That's expensive by any standard (Schwab trades at ~18x earnings, IBKR at ~22x), but the market is paying up because HOOD is growing revenue ~35-40% while legacy brokers grow single digits. The stock isn't cheap here — it's priced for continued crypto boom and retail engagement, so any hiccup in trading volumes gets punished hard.

Key Data	
Price (USD)	**$109.76**
12M Price Target	**$118.00**
Upside / (Downside)	**+7.5%**
Market Cap	**$98.68B**
FY2026E Revenue	**$4,250M**
FY2027E Revenue	**$5,100M**
FY2026E EPS	**$1.85**
FY2027E EPS	**$2.40**
Fwd P/E	**59.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

HOOD — Price Outlook & Investment Strategy

EQUITY RESEARCH | EXTENDED ANALYSIS

HOOD — Robinhood Markets, Inc. | August 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$125.00**	$112.00	**$95.00**
6 Months	**$145.00**	$118.00	**$85.00**
1 Year	**$170.00**	$125.00	**$75.00**
2 Years	**$220.00**	$150.00	**$65.00**
5 Years	**$350.00**	$220.00	**$55.00**
10 Years	**$600.00**	$350.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+3.16% today) is roaring — AI and retail-facing fintech are getting bid as the market bets on continued deregulation and lower rates. Crypto-adjacent names are ripping on the mortgage-with-crypto and tokenization headlines.

COOLING OFF: Financials (-0.65%), Utilities, and Industrials all red — money is flowing OUT of boring dividend-payers and INTO growth/speculation, which is a classic "risk-on" tape that favors HOOD.

ROTATION WATCH: Money is rotating from defensive value into high-beta retail/crypto/AI names — the exact cocktail that benefits Robinhood's business model where more speculation = more trades = more revenue.

RELATED PLAY: If HOOD's story works, look at COIN (Coinbase — pure crypto play with the tokenization catalyst), IBKR (Interactive Brokers — benefits from same retail wave with cheaper valuation), and MSTR (Bitcoin proxy that tends to move with HOOD's crypto revenue).

WHO'S WINNING IN THIS SPACE?

- WEBULL (Webull): Up 8% today — direct competitor benefiting from same retail trading resurgence
- COIN (Coinbase): Leading crypto infrastructure with tokenized stocks on Base and crypto-backed mortgages — expanding crypto TAM

HOOD CONTEXT: HOOD is LAGGING today's retail-trading move (+1% vs Webull +8%), which is a slight yellow flag — could mean profit-taking after HOOD's massive year-to-date run, or it could mean HOOD's rally is more mature. Either way, it's not leading its peers today, which suggests near-term upside is capped without a fresh catalyst.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business trajectory and policy tailwinds, but the stock has already run 70%+ from its 52-week low and valuation is stretched.

POSITION SIZE: 2-3% max — this is a volatile name that can drop 15% in a week; size it so a bad month doesn't ruin you.

ENTRY POINTS: I'd wait for $95-100 on any macro-driven pullback. Chasing $110 here means you're buying near the middle of a range with limited near-term edge.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is either (a) CLARITY Act final passage or (b) HOOD's first full year of profitability at scale to justify the multiple.

WHEN TO BAIL: If monthly trading volumes drop >20% for two straight months, or if Bitcoin breaks below $80K decisively, or if the SEC signals a PFOF ban — any of those three and I'm out.

HEDGING: Simplest hedge — buy some September $95 puts (cheap insurance that pays off if the stock drops 15%). Or just trim your position by a third if it hits $130 to lock in gains.